

DA-IICT

Template for Course Offering

1. Course Title	Corporate Finance
2. Credit Structure	Lecture hours per week: 3 Tutorial hours per week: 0 Practical hours per week: 0 Total Credits: 3-0-0-3
3. Course Code	HM403
4. Program/Semester	BTech 7 th semester, MSc 3 rd semester
5. Category	HASS Open Elective
6. Prerequisite courses	None
7. Foundation for	Courses in Advanced Quantitative Finance
8. Abstract Content	The course Corporate Finance introduces the corporation and emphasizes on value creation as its goal while describing the agency issues that may arise. It discusses the mechanics of discounting of cash flows and the concept of present value which has applications to personal finance, valuation of bonds and stocks as well as projects undertaken by the firm. The course also establishes the intuition for understanding risk and return and introduces the Capital Asset Pricing Model. The section on financial statements introduces key financial statements and the coverage of financial ratios helps students to analyze them holistically. The course thus lays the foundation for students aspiring for MBA and finance related Master degrees.
Suggested Text book(s)	<i>Corporate Finance</i> by Jonathan Berk and Peter DeMarzo <i>Fundamentals of Corporate Finance</i> by Stephen Ross and Randolph Westerfield

Detailed Course Contents		
Topic Name	Content (2 -3 lines per 4 – 6 lectures)	No. of lectures
Introduction to Corporate Finance	Principles of corporate finance, types of firms, goal of financial management, agency relationships, corporate governance	5
Financial Decision Making	Time value of money, law of one price, net present value, internal rate of return, perpetuities and annuities, economic cost and accounting cost	5
Interest rates and bond valuation	Nominal and real interest rate, types of bonds, yield curve, dynamic behaviour of bond prices, interest rate risk, bond ratings	5
Stock Valuation	Features of common and preferred stock, valuation models (dividend discount model, total payout model, valuation using multiples)	4
Valuing Projects	Net present value rule, IRR rule, payback rule, project selection with resource constraints	3
Sources of Finance	Internal sources of finance (retained profit, sale of assets etc), external sources of finance (share capital, venture capital, debt)	4
Risk and Return	Capital markets and the pricing of risk, optimal portfolio choice and the capital asset pricing model, estimating cost of capital	5
Financial Statement Analysis	Balance sheet, income statement, statement of cash flows, ratio analysis	5
Special Topics	International Corporate Finance, behavioural finance, enterprise risk management, leasing	5
Grading Policy- 30 marks in-semester, 50 marks end-semester, 20 marks for assignments/presentations/quizzes		

